Budget versus inflation: when fiscal and monetary policy pull in different directions

The RBA is raising rates to cool demand. Meanwhile an estimated $11 billion hole has opened in the federal budget since May, largely because a surge in bond yields pushed up the government's interest bill. Price stability, a smaller deficit and low unemployment cannot all be won at once.

WHAT HAPPENED

- The budget has an estimated **$11b hole** since May. The biggest driver is about **$6b** of extra debt interest over four years, caused by a surge in bond yields.
- Other costs: carve-outs to pass the capital gains and trust tax rises in the Senate, backdowns on refugee intake and veterans' payments, a private health rebate compromise and a $680m wage subsidy for charity workers.
- Every minister must find savings and **no new spending**, even cost-of-living help, is allowed. The mid-year update is due in **December**.
- The Treasurer and Finance Minister will not promise **net savings** (more saved than spent). Chalmers says the "composition of the savings matters" and warns about unemployment.

$11b
hole in the budget since May (estimated)

~$6b
extra debt interest over four years

4.5% → 2%
spending growth now vs the Business Council's target for real growth

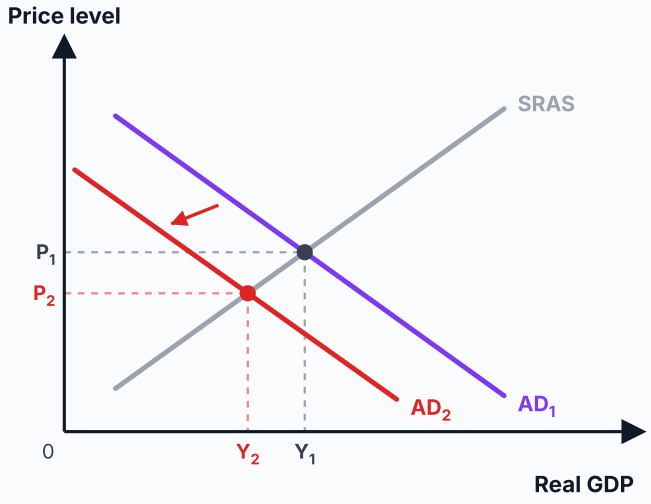
26.9%
federal spending as a share of GDP in 2025–26, up from 24.3% in 2022–23 OPINION

BAR CHART **Where the $11b hole came from**



Named contributors beyond interest: Senate carve-outs on the capital gains and trust tax changes, backdowns on the refugee intake and veterans' payments, a private health rebate compromise and the $680m charity-wage subsidy. The ~$5b remainder is calculated ($11b − $6b); the articles cost only some items. One source says these costs must be offset before any net saving can appear.

DIAGRAM **What tighter fiscal policy would do**



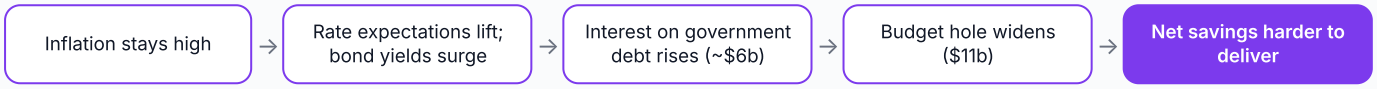
If the government cuts **net** spending, aggregate demand shifts left from AD_1 to AD_2.

Good: the price level falls from P_1 to P_2, so less demand-pull inflation, helping the RBA.
Bad: real GDP falls from Y_1 to Y_2, so weaker growth and fewer jobs.

This is the trade-off behind the Treasurer's comment on the savings mix. Economist Warren Hogan argues overall policy is "not tight enough" unless fiscal policy tightens, and the Business Council wants government to rein in its own spending.

Exam angle: Fiscal policy and monetary policy both stabilise AD. When fiscal policy is not tightening, monetary policy may have to do more of the work, so interest rates can stay higher for longer. Diagrams are not to scale.

FLOW CHART **The feedback loop: how persistent inflation widens the budget hole**

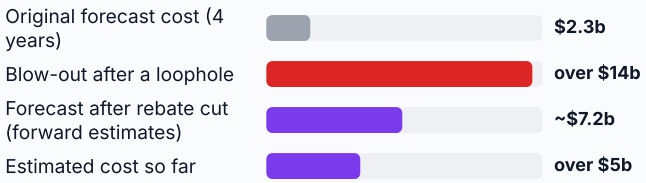


↻ Fewer net savings leave AD higher, so inflation stays high and the loop repeats.

Big exam idea: a deficit is not only a government choice. An interest-driven blowout like this one shows conditions in the economy feeding back into the budget, so policy-makers face **potential conflicts among objectives**.

BAR CHART

Case study: the home battery subsidy, a savings target that is also popular



Different time frames; the "so far" figure is an AFR estimate (certificates × $40).

35,000
batteries installed each month despite May cuts

550,000+
systems subsidised since July 2025

74%
less grid power in evening peaks for homes with solar and a battery (AEMO)

15×
as much home battery power could be installed in the time Snowy 2.0 takes to build (Green Energy Markets)

THE CASE TO CUT OR RESHAPE

- Uptake is stronger than expected, so many buyers would have bought anyway (e61 Institute).
- "Expensive and probably regressive" (Grattan Institute).
- A Climate Change and Energy Department official told a Senate hearing the design was too generous as costs fell faster than expected.
- The Coalition wants the subsidy abolished.

THE CASE TO KEEP

- Batteries have helped cut wholesale electricity prices over 12 months.
- They reduce evening-peak demand on the grid.
- They can be installed far faster than big projects.
- Removing the subsidy is not politically simple for the government.

COMPARE

The savings menu: each lever has a cost

Lever	Effect on demand or supply	Trade-off raised in the articles
Trim the battery subsidy	Saves budget money; reduces government spending (AD)	Options modelled before May: wind up early, lower the discount, shrink eligible system size. All were rejected for now.
Fund it differently	Moves the cost off the budget	Grattan: make support depend on joining a virtual power plant. Another option raised: fund it through power bills (the Small Scale Renewable Energy Scheme).
Defer infrastructure	Cuts government investment demand, easing capacity pressure	Chalmers flagged deferral; Chris Richardson suggests cutting dollar-matching to the states for 18 months, then restoring it. Bullock hopes investment lifts productivity later.
Productivity reform	Aims to shift AS right and lift supply capacity	Business says the $13b May package was overwhelmed by industrial relations changes and the higher capital gains tax; it cites Canada's "Productivity Mega Deduction" (full-cost write-offs for more assets).

TWO VIEWS ON SPENDING — OPINION

Kehoe's column says Labor's net spending decisions rose from $3.7b (2022–23) to $51.2b (2025–26), from Coalition analysis verified by economist Chris Richardson. Gallagher says government costs more to run than in the Howard–Costello era; Treasury's secretary has suggested spending decisions have eased inflation pressure.

LIMITATIONS OF POLICY, ON DISPLAY

Time lags: economists say rate rises are yet to fully work through. **Global influences:** fuel prices, a war. **Political constraints:** Senate carve-outs, pre-election spending, and a Prime Minister one source calls the budget's gatekeeper.

COMPARE

Three objectives in tension at the December update

Price stability: net savings would cool demand ↔ Full employment: the Treasurer is wary of high unemployment ↔ Cost-of-living relief: ruled out by the Prime Minister

SYLLABUS LINK

Topic 4 Fiscal policy: budget outcomes; effects of budgetary changes on resource use and economic activity; methods of financing deficits. **Also:** potential conflicts among objectives; limitations of policies (time lags, global influences, political constraints).
Key terms: budget deficit, net savings, expenditure review, stabilisation, regressive, AD/AS.

TRY THIS

1. Explain how higher interest rates can worsen the federal budget balance. **(3 marks)**
2. Evaluate the effectiveness of fiscal policy in reducing inflation in the current context. **(6 marks)**

Connects to: Explainer 1, for why inflation is the target; Explainer 3, for how weaker demand reaches households and jobs.

Sources (AFR): Budget black hole makes savings challenge harder (P. Coorey, 3 Nov); Shrinking subsidies haven't stifled the battery boom (R. Cropp, 3 Nov); "Chickens coming home to roost" (P. Coorey, 4 Nov); Mega construction boom stirs RBA rate worries (M. Read, 4 Nov); RBA rates have peaked but relief still a year away (C. Lefort, 4 Nov); Labor's economic model is broken (J. Kehoe, 4 Nov, opinion).